

Visa Inc. (V.US)

Financial Services · Credit Services
Large Cap (>\$200B) · Report Date: June 26, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-26

OVERWEIGHT

Blended Target: \$374.44

DCF + Comps + Analyst (see cross-check table)

Implied upside: +11.4%

Price (Jun): \$336.23

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$374.44 (+11.4% vs \$336.23); DCF 47% + Comps 53% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Analyst consensus excluded from blend (Analyst consensus lags / diverges >35% from comps).

INVESTMENT THESIS / EXECUTIVE SUMMARY

Visa Inc. (V) — Financial Services. Visa Inc. operates as a payment technology company in the United States and internationally. The company operates VisaNet, a transaction processing network.... **OVERWEIGHT** rating; blended target \$374.44. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$639.42B	Shares Out.	1659.7M
52-Week Range	\$293.89 – \$359.66	P/E (TTM)	29.3x
P/B	18.0x	Beta	0.77
Avg Volume	7.73M	Analyst Rec.	None
Revenue (TTM)	\$43.03B	Rev Growth	+17.1%
Op. Margin	67.3%	FCF (TTM)	\$21.58B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	35,926	40,000	46,840	52,798	57,895
Revenue Growth (%)	N/A	11.3%	17.1%	12.7%	9.7%
Net Income (\$M)	19,743	20,058	23,488	26,476	29,032
Net Income Growth (%)	N/A	1.6%	17.1%	12.7%	9.7%
Gross Margin (%)	80.4%	80.4%	97.8%	97.8%	97.8%
Net Margin (%)	55.0%	50.1%	50.1%	50.1%	50.1%
ROE (%)	50.4%	52.9%	62.0%	63.3%	66.2%
EPS (\$)	11.90	12.09	14.15	15.95	17.49
Book Value / Share (\$)	23.58	22.84	22.84	25.18	26.44
P/E (x)	28.27	27.82	23.76	21.08	19.22
P/B (x)	14.26	14.72	14.72	13.35	12.72
Dividend Yield (%)	81.0%	81.0%	81.0%	81.0%	81.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$472.17	+40.4%	47%	Included in blend
Profile template weights	—	—	—	Payment networks: DCF 40%, Comps 45%, Analyst 15%
Comps — P/E (peer median)	\$287.58	-14.5%	—	Peer median P/E 25.1x
Comps — Blended (avg. of available multiples)	\$287.58	-14.5%	53%	Included in blend
Analyst consensus (Yahoo Finance)	\$398.83	+18.6%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$374.44	+11.4%	100%	DCF 47% + Comps 53%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	8.21%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$21.58B
PV explicit (5Y)	\$124.59B
PV terminal	\$659.07B
Equity value (adj.)	\$783.66B
Implied price	\$472.17
vs. current	+40.4%

INDUSTRY ANALYSIS

1. Industry Overview

Visa Inc. operates as a payment technology company in the United States and internationally. The company operates VisaNet, a transaction processing network that enables authorization, clearing, and settlement of payment transactions. It also offers credit, debit, and prepaid card products; tap to pay, tokenization, and click to pay services; Visa Direct, a platform which facilitates money...

2. Key Trends

- Strong top-line growth (17.1% YoY)
- High operating leverage (67.3% margin)
- Defensive profile (β=0.77)
- Sector: Financial Services | Industry: Credit Services

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MA	Mastercard Incorporate	\$440.93B	28.9x	20.7x	45.9%	+15.8%
AXP	American Express Compa	\$232.24B	21.2x	N/A	16.3%	+11.6%
PYPL	PayPal Holdings, Inc.	\$39.07B	8.3x	6.0x	15.0%	+7.2%
COF	Capital One Financial	\$125.67B	62.6x	N/A	8.9%	+46.3%
V*	Visa Inc.	\$639.42B	29.3x	21.0x	51.7%	+17.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.